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TECH

Amazon's Quarterly Profit Tops \$1 Billion for First Time

Company's profit was helped by a tax benefit of \$789 million as part of the new tax overhaul

By Laura Stevens

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A clerk rolls a cart full of customer orders while a bicyclist with a backpack of orders prepares to leave the Amazon Prime warehouse in New York in December. MARK LENNIHAN/ASSOCIATED PRESS

Amazon.com Inc.'s **AMZN 3.97%** ▲ quarterly profit topped \$1 billion for the first time, reflecting the company's push to exhibit stronger fiscal discipline while simultaneously broadening its ambitions beyond online retailing.

The Seattle company's profit more than doubled to \$1.9 billion during the all-important holiday quarter, extending its streak of profitability over two and a half years. The company has long plowed most of the money it makes to build products,

roll out services and construct warehouses, but it is no longer racking up a string of losses.

Its profit was helped by a tax benefit of \$789 million as part of the new tax overhaul. Amazon also attributed the black ink to strong performances by its cloud-computing division, growth in advertising services such as product placement in search results and better efficiency at its warehouses amid record holiday sales.

“There’s certainly constant cost reduction and productivity efforts underway in many areas of the company, but specifically in our warehouses,” said Brian Olsavsky, Amazon’s chief financial officer.

Amazon’s revenue during the fourth quarter rose 38% to \$60.5 billion, at the top end of the company’s own forecast and above analysts’ expectations of \$59.83 billion.

In after-hours trading on Thursday, the company’s shares rose more than 6% to \$1,476. The stock is up about 65% over the past 12 months.

The revenue jump reflects the growing scale and scope of Amazon’s business from its start as an online bookseller more than two decades ago in founder Jeff Bezos’s garage.

The company now commands roughly three quarters of the smart-speaker market with its Echo devices and has built out a major Hollywood studio. It is delivering its own packages and dominates the cloud-computing services space, with Amazon Web Services comprising more than 40% of the market.

Amazon also transformed into a brick-and-mortar retailer overnight in August when it acquired Whole Foods and its roughly 470 stores for about \$13.5 billion. Amazon announced it would cut prices and add lockers, but hasn’t made too many drastic changes yet. Initial traffic was up, and the acquisition is also helping Amazon sell more groceries.

The fourth quarter was Whole Foods's first full period in the hands of Amazon. Sales of "physical stores," which mostly include Whole Foods and a few other Amazon-owned retail outlets, were \$4.52 billion, representing about 7% of the company's total revenue. Amazon didn't provide a year-ago comparison, though Whole Foods reported roughly \$3.5 billion a year ago.

Amazon is growing its core retail business, opening its cashierless convenience store Amazon Go last month after delays and building out its private label brands. The company now commands north of 40 cents of each dollar spent online in the U.S., according to marketing-research firm eMarketer.

Earlier this week, Amazon said it was teaming up with JPMorgan Chase & Co. and Berkshire Hathaway Inc. to form a new company to help lower health-care costs. That is increasingly important as Amazon grows, with its number of employees reaching 566,000, up from 541,900 in the third quarter.

Amazon's increasing size and might have drawn criticism—most notably from President Donald Trump. In December, the president tweeted that the U.S. Postal Service should charge Amazon and other companies more to deliver packages.

And its trove of consumer data, from stored Echo device requests to a new camera security system allowing Amazon to let itself into consumers' houses, has raised concerns among some consumers and privacy advocates. Amazon has said it installed many layers of protections into the Echo and its in-home delivery system.

But revenue growth still outpaced costs, while shipping expenses, which rose 31%, recorded lower growth than levels in recent quarters, especially notable during the holiday season when costs tend to rise.

Continuing its streak of helping boost the tech giant's bottom line, its Amazon Web Services division increased sales by 45% to \$5.11 billion. The unit, which rents computing power to a variety of startups, government agencies and other

corporations, has become a major factor in keeping Amazon in the black. Operating income for the unit rose about 46% to \$1.35 billion.

Still, the division is facing tougher competition from both Microsoft Corp. and Alphabet Inc.'s Google, prompting some concerns about whether the growth can continue at the current pace.

Amazon said it expects first-quarter sales of between \$47.75 billion and \$50.75 billion, which would be up 34% to 42% from a year earlier. It projects operating income for the current quarter of \$300 million to \$1 billion, compared with \$1 billion a year ago.

Write to Laura Stevens at laura.stevens@wsj.com

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Laura Stevens is a former reporter for The Wall Street Journal in San Francisco, where she covered e-commerce. Previously, she covered freight and transportation in Atlanta and German banking and other news out of the Journal's bureau in Frankfurt....

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